

NVIDIA

Corporation · NASDAQ: NVDA

RECOMMENDATION

BUY

The market's AI infrastructure monopoly — priced more reasonably than its reputation. NVDA has delivered market-beating risk-adjusted returns (5-yr Sharpe 1.20 vs S&P 0.64) yet trades at only ~20× forward earnings against +85% revenue growth.

\$194.83

Share price · 02 Jul 2026

\$4.72T

Market capitalisation

~20×

Forward P/E

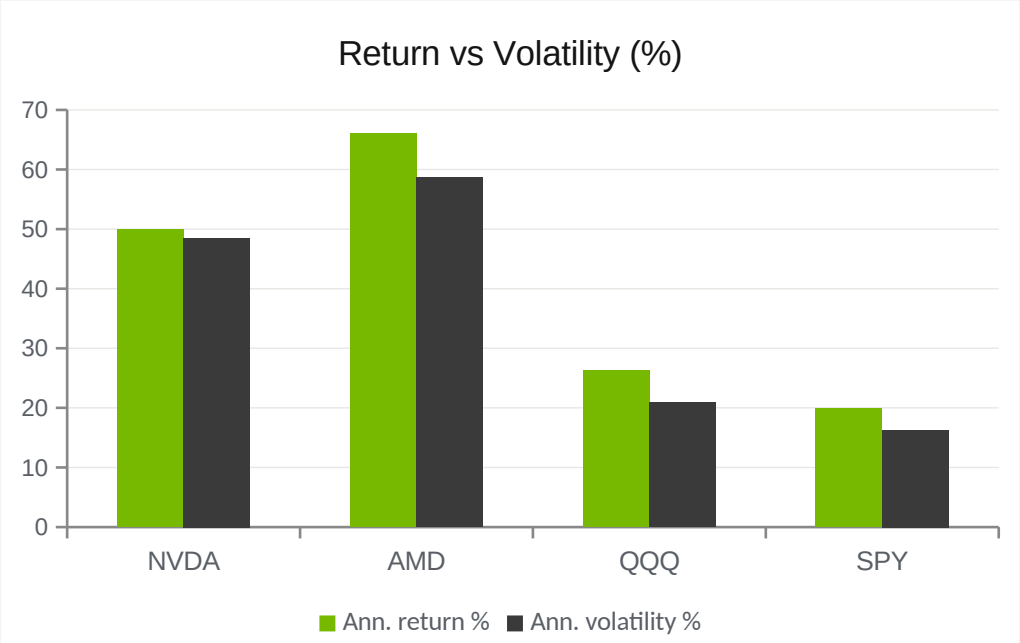
+1,122%

Total return, 5 years

The Data: Return, Risk & Risk-Adjusted Performance

Simple daily returns · sample statistics (STDEV.S) · $\beta = \text{COVARIANCE.S} / \text{VAR.S} = \text{SLOPE}$ · annualised $\times 252$ · window Mar-2024 → May-2026 (545 obs).

Metric	NVDA	SPY	QQQ	AMD
Ann. return	49.9%	19.9%	26.3%	66.1%
Ann. volatility	48.5%	16.3%	20.9%	58.6%
Beta (vs S&P 500)	2.02	1.00	1.23	2.19
Sharpe (2-yr)	0.95	0.97	1.06	1.06
1-day 95% VaR	4.8%	1.6%	2.1%	5.8%
Max drawdown	-37%	-19%	-23%	-57%



$\beta \approx 2.0$

Moves ~2× the market. Covariance and regression-slope methods agree exactly.

48% vol

≈ 3× the S&P 500. High risk is the price of admission.

Sharpe 1.20

Over 5 years, NVDA's risk-adjusted return beats the S&P's 0.64.

≈ \$4,800/day

5-yr 95% VaR on a \$100k position (parametric ≈ 4.8%).

Bull vs. Bear — and the Verdict

BULL · reasons to BUY

- AI-infrastructure near-monopoly: ~90% share of AI training silicon.
- Explosive, funded demand: Q1 FY27 revenue \$82B (+85% YoY); data-center \$75B; Q2 guide \$91B.
- ~75% gross margins — pricing power of a monopolist.
- Valuation not stretched: ~20× forward P/E on +85% growth → PEG well under 1.
- Best-in-class governance: MSCI AAA ESG leader.

BEAR · reasons for caution

- Extreme risk profile: $\beta \approx 2.0$, 48% volatility, a 66% max drawdown.
- China: export curbs foreclose ~1/5 of data-center revenue (\$5.5–16B headwind).
- Competition eroding the moat: AMD, Google TPUs, Amazon Trainium, in-house hyperscaler chips.
- Cyclicalities: hinges on hyperscaler capex — a spending pause hits hard.
- Size limits upside: law of large numbers at \$4.7T.

Sustainability: MSCI AAA (leader) · Sustainalytics 12.2 (low risk) | **Valuation:** ~20× forward earnings on +85% growth — hype looks largely justified, not detached.

VERDICT BUY — sized for the risk.

The data says NVDA has been a superior risk-adjusted compounder at an undemanding valuation. Own it — but as a high- β position: stagger entries, size for a possible 50%+ drawdown, and watch China policy and hyperscaler capex as the thesis-breakers.